

2. Understanding Risk: It's Not Rocket Science!

a. What is Risk?

There are a lot of technical definitions of Risk. However, I like to see it simply.
What are the chances that:

1. My investment will result in a negative return and I will be in loss

Invested	Current
4,80,555.46	2,06,241.05
P&L	-2,74,314.41 -57.08%

Or

2. My investment will not give me the expected return; hence, I won't be able to achieve my Financial Goal.

Invested	Current
4,80,555.46	5,23,805.45
P&L	+43,249.99 +9.00%
	Expected 12%
Nifty50	-3%

The higher the chance for the above two scenarios to happen, the higher the Risk of the product.